



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

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Of

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Prepared on:

27th February 2017

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

27/02/2017

Adrian & Geraldine Andersen
197 Tramway Parade
BEAUMARIS VIC 3193

Dear Adrian & Geraldine,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, commissions, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation structure (including Self-Managed Superannuation)
- Investments inside superannuation
- Structure and Ownership of Current and Future Investments
- Retirement Planning
- Estate Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Adrian and Geraldine, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore ways in which to maximise your retirement nest egg and put a plan in place to assist in your retirement planning.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Generate an income of \$50k to \$55k to meet living expenses.
- Determine the most appropriate use of your surplus funds (i.e. debt reduction v superannuation contribution).
- Place your future assets under the most tax effective ownership structure.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Adrian	Geraldine
Surname	Andersen	Andersen
Gender	M	F
Date of Birth	17/01/1953	26/11/1956
Age Last Birthday	64	60
Marital Status	Married	Married

Employment Details

Employment Status	Contract work (equipment finance)	Part Time
Occupation	Self	Pharmacy Assistant
Employer		Pharmacy 360 Black Rock

Estate Planning

	Adrian	Geraldine
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential property (Beaumaris)	\$1,400,000
Home contents	\$80,000
Motor vehicles	\$55,000
Boat	\$20,000
Total Lifestyle Assets	\$1,555,000

Investment Assets	Value
Investment property (East Launceston)	\$500,000
Shares	\$3,000
Cash (Westpac account)	\$260,000
Total Investment Assets	\$763,000

Superannuation Assets	
Adrian – Super for Life	\$444,705
Geraldine – AMP Investment Linked Personal Super Plan	\$16,548
Self-Managed Superannuation Fund (SMSF)	
Equipment portfolio \$135,000	
Cash \$125,000	\$260,000
Total Superannuation Assets	\$721,253

Total ASSETS	\$3,039,253
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LIABILITIES

Investment property loan (MyState)	\$343,000
Total Liabilities	\$343,000

NET WORTH	\$2,696,253
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a **Moderately Conservative** to **Balanced** investor.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A **Moderately Conservative** investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Therefore, a **Moderately Conservative** to **Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	29%
International Shares	17%
Fixed Interest	32%
Property	12%
Cash	10%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Planning - Recommendations

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2016-17

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%*

* From 1/07/17, the taxation of earnings in pension phase will apply to 'transition to retirement' income streams where *preservation age has been reached and you have not yet retired*.

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

* From 1/07/17, the taxation of earnings in pension phase will apply to 'transition to retirement' income streams where preservation age has been reached and you have not yet retired.

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute

Investments Currently Outside of Superannuation

Adrian and Geraldine, you currently have the following investments in your personal name:

<u>Cash</u>	
Westpac eSaver cash account	\$260,000

- You seek advice with respect to the best use of these funds.

Recommendation:

- In light of the fact that:
 - superannuation is a ‘tax-free’ environment to hold investment assets (when in pension phase); and
 - the superannuation contribution limits will be significantly reduced from 1st July 2017,

consider making a Personal Non-Concessional superannuation contribution of up to **\$260,000** in the 2016/17 financial year. (This contribution remains within the contribution caps detailed in the ‘Superannuation Contribution Limits’ section).

Benefits:

- As your superannuation fund will be in ‘pension phase’, any assets held within the fund are effectively being held in the most tax effective environment.
- The income stream that you draw down from your superannuation fund (up to 10% of the fund balance per annum) will be 100% tax free.
- ***The returns on balances held within superannuation and invested are anticipated to be higher than the current returns on cash held in bank deposits.***
- ***The returns on balances held within superannuation and invested are anticipated to be higher than the current fixed interest rate on your investment property loan.***

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Superannuation Funds

Adrian and Geraldine, you currently have the following approximate superannuation balances:

➤ Self-Managed Superannuation Fund (SMSF)	\$260,000
➤ BT Super for Life (Adrian)	\$444,705
➤ AMP Investment Linked Personal Plan (Geraldine)	<u>\$ 16,548</u>
TOTAL	\$721,253

Overview:

The anticipated total balance within the superannuation environment after the contribution suggested above will therefore be approximately **\$981,253**.

Recommendations:

Maintaining the existing structure is not considered cost effective and is not a streamlined approach. Therefore, we suggest to roll the BT and AMP superannuation funds into your SMSF and hold all of your superannuation monies in your SMSF

Current Superannuation Structure

The current estimated asset allocation of your superannuation portfolio is as follows:

Asset Class	SMSF (\$260,000)	BT (\$444,705)	AMP (\$16,548)	Total (\$721,253)
Australian Shares	0%	34%	32%	22%
International Shares	0%	26%	25%	17%
Property	0%	9%	10%	6%
Fixed Interest	0%	14%	19%	9%
Cash	48%	3%	5%	19%
Other	52%	14%	9%	27%
	100.00%	100.00%	100.00%	100.00%

Current Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Moderately Conservative to Balanced Portfolio	Deviation
Australian Shares	22%	29%	-7%
International Shares	17%	17%	0%
Property	6%	12%	-6%
Fixed Interest	9%	32%	-23%
Cash	19%	10%	+9%
Other	27%	0%	+27%

Assuming the non-concessional contribution of \$260,000 is made, you will have an approximate superannuation balance of **\$981,253**. After taking into account the \$135,000 that is invested in the portfolio of equipment, based on a 'Moderately Conservative to Balanced' portfolio (see below) we would suggest that the remaining funds of **\$846,253** be invested in the following manner:

Moderately Conservative to Balanced:

Asset Class	% of Portfolio	Value
Australian Shares	29%	\$245,413
International Shares	17%	\$143,863
Fixed Interest	32%	\$270,802
Property	12%	\$101,550
Cash	10%	\$84,625
	100%	\$846,253

Self Managed Superannuation Fund (SMSF)

Based on the information you have provided, your SMSF currently has the following asset allocation:

Asset Class	SMSF (\$260,000)
Australian Shares	0%
International Shares	0%
Property	0%
Fixed Interest	0%
Cash	48%
Other	52%
	100.00%

This consists of:

- Cash at bank \$125,000
- Portfolio of equipment \$135,000

Once the non-concessional contribution is made and the BT and AMP funds are rolled across to your SMSF, options for a portfolio that is in line with your 'Moderately Conservative to Balanced' Investor Risk Profile are as follows:

International Shares

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>BT Core Wholesale Global Share Fund (AQR)</i>	\$71,931	1.33%
<i>MFS Wholesale Global Equity</i>	\$71,932	1.24%
Total Investment	\$143,863	

Property

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>BT Wholesale Property Investment</i>	\$50,775	1.07%
<i>CFS Wholesale Global Property Securities</i>	\$50,775	1.02%
Total Investment	\$101,550	

Australian Shares – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform		
<i>BT Wholesale Core Australian Share</i>	\$81,805	1.02%
<i>Fidelity Wholesale Australian Equities</i>	\$81,804	1.06%
<i>Perennial Wholesale Value Australian Share</i>	\$81,804	1.02%
Total Investment	\$245,413	

Australian Shares – Option B

Investment Name	Investment Value	Indicative Management Cost
Direct Shares ¹	\$245,413	Cost of brokerage (typically 1%)
Total Investment	\$245,413	

¹ Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Fixed Interest – Option A

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform* <i>FirstChoice Wholesale Fixed Interest</i> [^]	\$270,802	0.77%
Total Investment	\$270,802	

[^] Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 31/01/2017 are as follows:

1 year	2 years	3 years	5 years	Since inception	Inception date
2.70%	2.10%	4.68%	5.18%	6.09%	17/04/02

Fixed Interest – Option 2

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit [°]	\$270,802	0%
Total Investment	\$270,802	

[°] The highest rates currently available for term deposits of \$270,802 for a term of 12 months are:

- ME Bank - 2.90%
- ING Direct - 2.90%
- UBank - 2.71%

Cash

Investment Name	Investment Value
SMSF Bank Account	\$84,625
Total Investment	\$84,625

Performance

^ Performance figures (net of MER) for the managed fund options as at 31/01/17 are as follows:

Fund	1 year	3 years	5 years	Since inception	Inception date
<i>BT Wholesale Core Australian Share</i>	12.86%	7.70%	10.64%	7.85%	23/04/2002
<i>Fidelity Wholesale Australian Equities</i>	11.60%	7.91%	11.44%	9.73%	31/07/2009
<i>Perennial Wholesale Value Australian Share</i>	15.71%	6.75%	9.83%	8.04%	25/04/2004
<i>BT Core Wholesale Global Share Fund</i>	6.56%	10.04%	17.32%	3.00%	23/04/2002
<i>MFS Wholesale Global Equity</i>	7.44%	10.47%	18.33%	12.57%	31/05/2009
<i>BT Wholesale Property Investment</i>	5.89%	14.88%	15.01%	6.36%	23/04/2002
<i>CFS Wholesale Global Property Securities</i>	7.28%	11.43%	11.30%	9.88%	11/04/2004

Fee Comparison

- We have provided an overview of the fee structure within the three superannuation funds in the table below:

Type of Fee or Cost	AMP Investment Linked Personal Super Plan	SMSF	BT Super for Life
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	4.0%	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$72 p.a.	- Accounting fees* - Audit fees*	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a. on managed funds OR flat fee as agreed	Nil
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.99% p.a.	1.02% to 1.33% p.a.	0.63%

* Your SMSF returns from 2012 onwards are currently being completed. As such, we have not been able to establish the accounting and auditing fees you are currently being charged.

Superannuation – Pension Phase and Retirement Income Streams

Adrian and Geraldine, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. From age 60, all income received from this income stream is tax free.

Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase. However, from 1st July 2017 the taxation of earnings in pension phase will apply to 'transition to retirement' income streams where *preservation age has been reached and you have not yet retired*.

The minimum pension amount that you must draw is 4% per annum whilst the maximum pension you can draw is 10%, with the specific amounts being re-calculated in July each year.

Recommendations:

- Consider moving your superannuation from 'accumulation' to 'pension' phase.
- Commence the maximum pension income stream. This is estimated as **\$39,250** per annum (i.e. 4% of a total superannuation balance of \$981,253).

Benefits:

- Once you commence an income stream, the earnings on your pension account balance become tax free.
- The income stream assists in meeting your cash flow requirements in a tax effective manner.

Your Beaumaris Property

You have stated that you may convert your residential property in Beaumaris to an investment property should you move to Tasmania. Should you do this and then at some stage sell the Beaumaris property, the following rule applies in relation to Capital Gains Tax (CGT):

*Whenever a property is occupied as a main residence, it will be exempt from CGT for that period of time. Under the **six-year rule**, a property can continue to be exempt from CGT if sold within six years of first being rented out. The exemption is only available where no other property is nominated as the main residence.*

When the dwelling is reoccupied as the main residence, the six-year exemption resets. So another six years of exemption is available from the date it next becomes income producing.

Cash Flow

Your estimated proposed annual cash flow in the **short term** is as follows:

	Total
Income	
Income from consulting - Adrian	\$25,000
Wages – Geraldine	\$14,000
Income Stream – superannuation	\$39,250
Sub Total	\$78,250
Less Net Income Tax	\$1,213
Net Income	\$77,037
Less Budgeted Expenditure*	\$55,000
Income Surplus	\$22,037

* Budgeted expenditure is based on what you have estimated you need to live off and does not take into consideration additional funds required for travel etc. This may equate to another \$10,000 p.a.

Retirement Projections

We have taken the liberty of providing retirement and cash flow projections over a 20 year period based on the following scenarios:

Scenario 1

First two years

- Surplus funds (\$260k) are contributed to superannuation
- Continue working for two years
- Draw down the minimum income stream from superannuation
- Maintain the neutrally geared Tasmanian investment property for two years

After two years

- Cease working
- Move into Tasmanian property
- Convert Beaumaris property into an investment property (rental income of \$40k p.a.)
- Draw the minimum income stream from superannuation
- Maintain debt on Tasmanian property

Scenario 2

First two years

- Surplus funds (\$260k) are contributed to superannuation
- Continue working for two years
- Draw down the minimum income stream from superannuation
- Maintain the neutrally geared Tasmanian investment property for two years

After two years

- Cease working
- Move into Tasmanian property
- Convert Beaumaris property into an investment property (rental income of \$40k p.a.)
- Draw the minimum income stream from superannuation
- **Sell Beaumaris property 8 years from now and pay off debt on Tasmanian property**

Scenario 3

First two years

- **Surplus funds (\$260k) are used to reduce debt on the Tasmanian property**
- Continue working for two years
- Draw down the minimum income stream from superannuation
- Maintain the Tasmanian investment property for two years

After two years

- Cease working
- Move into Tasmanian property
- Convert Beaumaris property into an investment property (rental income of \$40k p.a.)
- Draw the minimum income stream from superannuation

Under each of these scenarios we have calculated your projected capital position after 20 years with the key outcomes as follows:

Investment Asset	Scenario 1	Scenario 2	Scenario 3
Superannuation balance	\$1,029,227	\$1,274,355	\$946,483
Cash balance (outside superannuation)	\$0	\$1,862,402	\$0
Tasmania property value	\$903,055	\$903,056	\$903,056
Beaumaris property value	\$3,714,617	\$0	\$3,714,617
TOTAL CAPITAL	\$5,646,899	\$4,039,813	\$5,564,156

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

The following assumptions have been used when calculating these projections:

- Interest rate on Tasmanian property loan is 4.5% p.a.
- Capital value of Tasmania property increases by 3.0% p.a.
- Capital value of Beaumaris property increases by 5.0% p.a.
- Capital value of managed funds increases by 6.0% p.a.
- SMSF equipment portfolio income of \$20k p.a.
- Capital value of cash increases by 1.5% p.a.
- Budgeted expenditure increases by 3.0% p.a.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

You currently have the following insurance cover in place:

Adrian

BT Super (superannuation owned)

Life Insurance: \$757,550

TPD: \$ 14,000

Premium - \$281.59 p.m.

Geraldine

Nil

It must be brought to your attention that Adrian's BT cover will cease should you close your existing superannuation fund and roll your superannuation monies across to your SMSF. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Tyson Holmes will assist you with this analysis and we will subsequently provide recommendations accordingly.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You currently have basic Wills in place.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which
- case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

Neither of you currently have Powers of Attorney in place.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$3,500 plus GST, which can be paid from superannuation monies, or invoiced to you.

Upfront and Ongoing Fee Disclosure

Any ongoing fee is to be agreed to in writing. This may take the form of a percentage based fee (i.e. percentage of Funds Under Management) or a flat fee.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a variable rate of return on share and managed fund investments, as outlined in the relevant sections. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary.

Appendix B – Retirement Capital Projections
